

Methodological Guidelines: National Accounts Statistics & GVA Estimation

1. GROSS VALUE ADDED (GVA) AT BASIC PRICES

Under the updated System of National Accounts (SNA 2008) framework, Gross Domestic Product (GDP) is estimated from Gross Value Added (GVA) at basic prices.

Relationship:

$$\text{GDP at Market Prices} = \text{GVA at Basic Prices} + \text{Product Taxes} - \text{Product Subsidies}$$

Basic price is the amount receivable by the producer from the purchaser for a unit of a good or service produced as output minus any tax payable, and plus any subsidy receivable, on that unit as a consequence of its production or sale. It excludes any transport charges invoiced separately by the producer.

2. CLASSIFICATION OF ECONOMIC ACTIVITIES

National accounts compile economic output across eight broad sectors:

1. Agriculture, Forestry & Fishing
2. Mining & Quarrying
3. Manufacturing
4. Electricity, Gas, Water Supply & Other Utility Services
5. Construction
6. Trade, Hotels, Transport, Communication & Broadcasting
7. Financial, Real Estate & Professional Services
8. Public Administration, Defence & Other Services

3. CONSTANT PRICE ESTIMATION (DOUBLE DEFLATION METHOD)

To measure real economic growth isolated from inflationary price fluctuations, GVA is estimated at constant base year prices. In the Double Deflation method, real output is deflated by the appropriate output price index (e.g. WPI or CPI sub-index), and intermediate consumption is independently deflated by input price indices. Where input price data is unavailable, single deflation by gross output deflator is applied as an operational approximation.

4. CONSUMER PRICE INDEX (CPI) INTEGRATION

The All-India Consumer Price Index (CPI) with base year 2012=100 measures changes over time in the general level of prices of goods and services that a reference population acquires, uses, or pays for consumption. CPI is computed using the modified Laspeyres formula with base period weights derived from the Consumer Expenditure Survey (CES).

Headline inflation is compiled by combining CPI (Rural) and CPI (Urban) into CPI (Combined).

5. DATA GOVERNANCE & REVISION POLICY

Official quarterly GDP estimates undergo scheduled revisions:

- Provisional Estimates (PE) released two months after financial year end.
- First Revised Estimates (1RE), Second Revised (2RE), and Third Revised (3RE) incorporating administrative returns from MCA21 corporate filings and final audited state government budgets.